

when improved or let. (It is emphatically not true, however, of buildings erected for a special purpose, such as factories, etc.)

Misleading Character of Appraisals. The foregoing discussion is important in its bearing on the correct attitude that the intending investor in real estate bonds should take towards the property values asserted to exist behind the issues submitted to him. During the great and disastrous development of the real estate mortgage-bond business between 1923 and 1929, the only datum customarily presented to support the usual bond offering—aside from an estimate of future earnings—was a statement of the *appraised value* of the property, which almost invariably amounted to some 66 $\frac{2}{3}$ % in excess of the mortgage issue. If these appraisals had corresponded to the market values which experienced buyers of or lenders on real estate would place upon the properties, they would have been of real utility in the selection of sound real estate bonds. But unfortunately they were purely artificial valuations, to which the appraisers were willing to attach their names for a fee, and whose only function was to deceive the investor as to the protection which he was receiving.

The method followed by these appraisals was the capitalization on a liberal basis of the rental expected to be returned by the property. By this means, a typical building which cost \$1,000,000, including liberal financing charges, would immediately be given an “appraised value” of \$1,500,000. Hence a bond issue could be floated for almost the entire cost of the venture so that the builders or promoters retained the equity (*i.e.*, the ownership) of the building, without a cent’s investment, and in many cases with a goodly cash profit to boot.³ This whole scheme of real estate financing was honeycombed with the most glaring weaknesses, and it is sad commentary on the lack of principle, penetration, and ordinary common sense on the part of all parties concerned that it was permitted to reach such gigantic proportions before the inevitable collapse.⁴

³ The 419–4th Avenue Corporation (Bowker Building) floated a \$1,230,000 bond issue in 1927 with a paid-in capital stock of only \$75,000. (By the familiar process, the land and building which cost about \$1,300,000 were appraised at \$1,897,788.) Default and receivership in 1931–1932 were inevitable.

⁴ See Appendix Note 19 for a report of Real Estate Securities Committee of the Investment Bankers Association of America commenting on defaults in this field.